

# **Statement of Work**

## **Original Equipment Manufacturer (OEM) Inventory Spare Parts Support For the Super Simultan (SUSI) Press Equipment (Use Code P81)**

### **SECTION I: Background**

Koenig & Bauer Banknote Solutions (KBA) is the Original Equipment Manufacturer (OEM) of the SUSI Press equipment, one of the six (6) pieces of equipment used by the Bureau of Engraving and Printing (BEP) for currency manufacturing. This equipment has over 800 spare parts required for continuous operation and maintenance.

The over 800 highly specialized spare parts required for the SUSI equipment are proprietary to KBA. Other vendors are authorized to sell or distribute these parts, but they would normally be sold at a higher price since these vendors would usually obtain the OEM parts from the original manufacturer, KBA, to resell/redistribute to their clients.

BEP Electrical and Mechanical personnel maintain the SUSI Press equipment. Older printing presses have been overhauled both mechanically and electronically. The electronic overhaul is crucial because relatively some systems are no longer available. The SUSI Press equipment is unique, and the spare parts for this equipment are gradually becoming scarce and have limited availability. Getting these OEM parts from other than the original manufacturer has proved to be a big challenge as the industry keeps changing, and these parts are no longer manufactured since equipment such as the SUSI does not have a steady market or has been replaced with a more advanced currency printing equipment and inspection system.

Furthermore, obtaining original spare parts for these machines can be challenging, if not impossible, as the implications of modifying a machine can be unpredictable.

In order for the BEP to maintain continuity in operation, spare parts must be purchased on a recurring basis and maintained at a sufficient inventory stock level to support this distinctive currency equipment, which supports BEP's complex, highly integrated currency production infrastructure.

The SUSI Press equipment is an integral part of the BEP's mission-critical operations and is fundamental to ensuring the fidelity of currency manufacturing. The quality, legacy, and fidelity of these spare parts are critical to the equipment's operation. The BEP printing presses are essential to the BEP's mission of developing and producing United States currency notes that are trusted worldwide.

Historically, these spare parts have been purchased via sole source. The awardee that can provide the majority of the spare parts has been KBA, a large business. This vendor has been found technically acceptable to supply these spare parts to support uninterrupted currency manufacturing services and ensure continued daily currency manufacturing operations.

## **SECTION II: Purpose**

### **2.1 Product, Service or Outcome Needed.**

Spare parts are needed for the SUSI Press equipment, one of six Koenig & Bauer Banknote Solutions (KBA) pieces used by the Bureau of Engraving and Printing (BEP) for currency manufacturing. This equipment requires over 800 spare parts to ensure continuous operation and maintenance.

### **2.2 Scope of the Product, Service, or Outcome.**

The proposed IDIQ contract will encompass majority of the spare the parts used by BEP for the SUSI Press equipment. In addition, the expected capacity of this IDIQ will reduce administrative costs by eliminating repetitive competitive individual purchase orders, satisfy recurring requirements, reduce the numerous rejected parts delivered, reduce down-time of currency manufacturing equipment, and provide opportunities to negotiate improve volume discounts. strative costs by eliminating repetitive competitive individual purchase orders, satisfy recurring requirements, reduce the numerous rejected parts delivered, reduce down-time of currency manufacturing equipment, and provide opportunities to negotiate improve volume discounts.

The contractor shall be responsible for supplying and prompt delivery of inventory spare parts to two (2) currency manufacturing warehouse facilities, Washington, DC Currency Facility (ECF) and the Fort Worth, TX, Western Currency Facility (WCF).

## **SECTION III: Technical Requirements/Tasks/Outcomes**

### **3.1 Technical Specifications:**

The Contractor shall provide all or majority of the OEM spare parts per specification on Attachment A, Parts List. The attached list contains the assigned BEP item number, complete description / specification of the part which represents the minimum capability, functionality, and performance characteristics for each part. The contractor shall meet or exceed each of the applicable spare parts per specification.

### **3.2 Period Of Performance:**

The proposed IDIQ contract shall have one (1) base year, plus four (4) 12-month ordering periods from the effective date of the contract for a total of 60 months with a minimum guarantee to be determined at time of award. The government proposes to fulfill its contract minimum guarantee amount in the contract's base period.

### **3.3 Place Of Performance:**

All deliverables required during the performance of this contract must be delivered F.O.B. destination. The OEM parts specified in this contract will be delivered throughout its duration to the locations listed below:

DCF: Bureau of Engraving and Printing  
District of Columbia Facility  
14th and C Streets, S.W.  
Washington, DC 20228

WCF: Bureau of Engraving and Printing  
Western Currency Facility  
9000 Blue Mound Rd.  
Fort Worth, TX 76131

The specific location for each delivery will be indicated in the delivery order issued.

### **3.4 Bureau Acceptance Test:**

Responsibility for Inspection and Testing: The BEP reserves the right to perform any inspections and tests set forth for each spare equipment, to include inventory of parts list and supplies listed on each delivery order. The spare part shall meet or exceed the minimum the technical requirement as required herein.

Final Acceptance: The system shall be utilized by the BEP for a minimum of three (3) weeks in production without any problems or issues being noted prior to final acceptance by the BEP.

### **3.5 Warranty:**

The Contractor warrants and implies that the items delivered hereunder are merchantable and fit for use for the particular purpose described in this SOW.

The Contractor shall also warrant all parts and workmanship delivered under any resulting BEP delivery order to be free from defects, damage or failure. A period of one (1) year (12 calendar months) warranty will begin after completion of a successful performance test and full acceptance of spare parts by the Contracting Officer Representative (COR). The contractor's warranty shall include parts, labor, and associated transportation and shipping costs. This warranty will be at no additional cost to the government. When a malfunction occurs while covered under warranty, the contractor will replace the spare part within one week at no cost to the Government within 72 hours of notification.

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Warranty shall include materials or replacement of defective parts after the BEP's final acceptance of the spare parts.

If the contractor is required to correct or re-perform during the warranty period, it shall be at no cost to the Government and any services corrected or re-performed during the warranty period shall be subject to this clause to the same extent as work initially performed. If the contractor fails or refuses to correct or re-perform under the warranty period, the BEP Contracting Officer may, by contract or otherwise, correct or replace with similar services and charge to the contractor the cost occasioned to the contractor thereby or make an equitable adjustment in the contractor price. The contractor shall provide all necessary information for the COR to make service contacts, i.e., names, physical addresses, email addresses and telephone numbers. Upon completion of a service call, the contractor shall furnish a report, in English, documenting the work performed and any recommendations, including preventative maintenance, to lessen the potential of a future occurrence.

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### 3.6 DELIVERABLES:

All post-warranty, telephone support, remote access support, and emergency repairs and remedial service shall be performed in accordance with the requirements and will be monitored by the COR in accordance with the following Schedule:

| Deliverables                                                                                                                                                          | Schedule                                          | Delivery Method |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------|-----------------|
| Biweekly Status Report – report will consist of delivery schedule, delays, etc.                                                                                       | 1 <sup>st</sup> & 15 <sup>th</sup> of every month | E-mail          |
| Mitigation Plan – plan to replenish critical, problem, or obsolete items, & delays                                                                                    | As required                                       | Email           |
| Copy of monthly invoices – Before submitting invoices to IPP, delivery orders must be processed in CLM. OA will use these invoices to consolidate all delivery orders | Every end of the month                            | E-mail          |

### 3.7 Access To Government Facilities:

The BEP is a secured facility, and all instruction of the BEP Police must be obeyed. Weapons, cameras, and alcohol or illegal drugs are not allowed on site and are subject to seizure. During the life of the contract, access to the Government facility for the Contractor, its subcontractors, and suppliers shall be made available as required. During all operations on Government premises, personnel for whom the Contractor is responsible shall comply with the rules and regulations governing the conduct of personnel and the operation of the facility. The Government reserves the right to require the Contractor's employees to sign in and/or sign out of the Government facility.

**The BEP will not provide parking for the BEP Washington D.C. Facility.**

### **3.8 On-Site Work Restrictions:**

When performing services at the place of installation such work must be performed without:

- a. Interfering with Government business;
- b. Unduly restricting traffic;
- c. Causing unsafe conditions for employees and visitors; and
- d. Adversely affecting the operation of BEP Facility.
- e. Non-compliance with security regulations.
- f. Failure to adhere to this requirement can be considered grounds for termination.

### **SECTION IV: Applicable Documents**

The Contractor shall provide English-language documentation that describes the industry specification of each spare part. The Contractor shall provide the BEP with accurate, complete, and up-to-date technical documentation. The documentation shall include operational manuals, maintenance manuals, technical support contact information, and component purchasing information.

### **SECTION V: Requirements for Handling Sensitive, Classified, and/or Proprietary Information**

**N/A**

### **SECTION VI: Government Furnished Resources and Information**

**N/A**